

ANI

FREE KISSES TOO
CM Chouhan at a public programme in Bhind, Feb. 6



keep its promise in 2023, if voted to power. The party has also announced bringing back the Old Pension Scheme for state government employees—the very promise which put wind in its sail in Himachal Pradesh, and which it is backing elsewhere too. How it will be financed is not known yet. The party has also not estimated the outgo.

A look at MP's finances will not be out of place here. The 2022-23 state budget estimated expenditure at Rs 2.48 lakh crore. This did not include the massive debt repayments that are burgeoning every year. The fiscal deficit was estimated at 4.56 per cent of GSDP—above the 4 per cent deemed permissible by the Centre last year, that too with the consideration that power sector reforms would be introduced. The total liabilities of the state government presently stand at a whopping Rs 3.45 lakh crore and fresh borrowings show no signs of abating.

How are the new sops to be funded? No one has an answer. The state's tax revenues—excise, taxes on fossil fuels, stamps and registrations, mining etc.—stood at Rs 81,613 crore in 2021-22 and are expected to rise to Rs 87,945 crore. Of these, the targeted collection from excise was Rs 13,613 crore for 2022-23. However, former CM Uma Bharati has been running an anti-liquor agenda, demanding prohibition, so that's a narrowing window. The state has to raise additional revenue to fund all the sops. The only avenues open seem to be to hike taxes on fossil fuels or enhance borrowings, neither of which is without complications. But who has the bandwidth to listen to arcane fiscal issues when short-term political survival is itself at stake? ■

–Rahul Noronha

RAJASTHAN

WELFARE MAGICIAN

It was meant to be a historical budget, but a bit of history crept in by mistake. Between the sixth and seventh minutes, Chief Minister Ashok Gehlot read out a few announcements from last year's address before he, his staff and the chief whip noticed it and he stopped abruptly, apologising. The embarrassment was compounded by the fact that Gehlot, on the advice of Rahul Gandhi, had arranged for a live telecast of his speech to many schools, colleges and panchayats. The CM, who also holds the finance portfolio, attributed it to clerical error—a page from last year's budget document being accidentally included during binding, a minor blemish in a document otherwise exuding the warm glow of welfarism. The opposition BJP didn't let him escape so easily. Prime Minister Narendra Modi at his rally in Dausa on February 12, finance minister Nirmala Sitharaman in Parliament and ex-chief minister Vasundhara Raje in the assembly on February 10 all took a dig at Gehlot—calling it a reflection of the Congress, its vision and the CM's callousness. Yet, Gehlot bore it manfully and described the criticism as a sign of the strength of his budget—with some rather sweeping proposals.

"Do not call it an election budget. This is the fifth time in a row that I have presented a tax-free budget and it's an extension of my effort to help the masses by building capacity and infrastructure," he told INDIA TODAY. And then he let go a bravura note: "Of course, my budget in 2028 will be an election budget!" In his two earlier tenures, Gehlot had waited till election year to have a proper populist budget—but they went in vain. Neither liberal drought relief nor old age pen-